

7. Don't try to compete with your children.

Never boast about how much money you have accumulated. This sends a confusing message. Often children can't compete with their parents on this basis, and do not really want to. You don't have to boast of your achievements. Your children are wise enough to appreciate what you have accomplished. Never start a conversation with "When I was your age, I already had ..."

To many successful, achievement-oriented children of the affluent, accumulating money is not the superordinate goal. Instead, they want to be well educated, to be respected by their peers, and to occupy a high-status position. For many of these sons and daughters, the variations in income and wealth among occupations are much less important than they are for their parents. The typical first-generation affluent American is a business owner. He has a high net worth but often low self-esteem. The low-status, high-net worth parent often lives vicariously through his well-educated adult children who occupy high status professions. Ask a self-made millionaire a simple question: "Mr. Ross, tell me about yourself." A prototypical multimillionaire (a high school dropout) recently answered this way:

I was just a kid, a teenager, when we got married ... never finished high school. But I started a business.... Today I'm very successful, got dozens of college graduates, my managers, working for me.

By the way, did I mention that my daughter will graduate with honors from Barnard College?

This same millionaire never wanted any of his children to be entrepreneurs. And, in reality, most of the children of the affluent never do become business owners. Money is second or third on their list of goals and achievements.

8. Always remember that your children are individuals.